Strategic Report,

Report of the Directors and

Audited Financial Statements

for the Year Ended 30 June 2024

for

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

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BIRMINGHAM CITY FOOTBALL CLUB LIMITED

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BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Company Information
for the year ended 30 June 2024

Directors:	W Zhao T A Wagner A Shannahan M Alvarez K Kneisly G Zheng G Cook
Registered office:	St Andrews Stadium @ Knighthead Park Small Heath Birmingham B9 4RL
Registered number:	00027318 (England and Wales)
Auditors:	Cooper Parry Group Limited CUBO Birmingham 4th Floor Two Chamberlain Square Birmingham West Midlands B3 3AX
Bankers:	HSBC Bank plc 130 New Street Birmingham B2 4JU

Strategic Report
for the year ended 30 June 2024

The Directors present their Strategic Report and Financial Statements for the year ended 30 June 2024.

The principal and continuing activity of the company is that of a football club, namely Birmingham City Football Club.

Financial and operating review
The loss for the year before tax of £16.1m represents a significant decrease of approximately 36.6% as compared to the loss of approximately £25.4m for the corresponding period last year.

For the thirteenth consecutive year BCFC played in the Championship Division of the English Football League (EFL). Following a finish of 17th position in the EFL Championship for the season 2022/23, the squad were able to make a relatively good start to the 2023/24 season. Despite the good start to the season, results in the second half of the campaign saw the team in the bottom half of the table, ultimately being relegated to the third tier of English Football.

The 2023/2024 season was a transitional year for the football club. Significant investment was made into the infrastructure at the stadium and training grounds, staff numbers increased by 30 to 239 including changes to the senior leadership team and football management as well as multiple first team players entering the final year of their contract.

The Birmingham City Football Academy continued to operate at Category 2 status under the Elite Player Performance Plan during the 2023/24 season. Several academy trained players continued to participate in the first team squad throughout the 2023/24 season. It was announced during the year that the Academy is striving to reach Category 1 status within the 2024/25 season.

The players, football management team, staff and directors would like to thank the fans for their loyal and continued support.

Key performance indicators (KPIs)
Key performance indicators are used to measure and evaluate performance against targets and monitor various activities throughout the company. The main key performance indicators employed in the company are:

	2024	2023
	£'000	£'000
Revenue levels (football related and other)	28,720	18,986
Loss from operations	13,827	24,376
Staff costs (player related and other)	33,719	27,628
	No.	No.
Average attendance levels	21,180	16,758

Prior to the beginning of the 21/22 season, it was announced that major repair works were needed to bring St Andrews @ Knighthead Park back to a fit state to meet health and safety regulations. This has resulted in the lower tiers in the Tilton Road stand and Kop stand being closed for the 22/23 season. At the beginning of the 23/24 season, both stands have returned to a fit state and are therefore being utilised for matchdays.

The Board monitor these key performance indicators on a monthly basis. Acceptable performance and target KPI's are set by the group's budget and the group's primary internal performance measure is against budgets.

Principal risks and uncertainties
The directors of Birmingham City Football Club Limited have carried out a robust assessment of the principal risks facing the company, including those that would threaten its business model, future performance, solvency, or liquidity.

Funding and going concern
On 13 July 2023, the company's ultimate parent undertaking, ZO Future Group ("ZO"), formerly known as Birmingham Sports Holdings Limited ("BSHL"), announced that Shelby Companies Limited, owned by Knighthead Annuity & Life Assurance Company and Knighthead Master Fund, L.P ("Knighthead"), had acquired 45.98% of the issued share capital of the parent company Birmingham City Limited ("BCL"). Shelby Companies Limited acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from Oriental Rainbow Investments Limited (ORIL).

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%). The directors have received written confirmation from Knighthead that continued financial support will be provided for at least the next 12 months.

At the balance sheet date funding of £135.2m has been provided by BCL to the company, this amount is shown as due to the ultimate parent undertaking within one year.

Funding and going concern (continued)
In the year, the company entered into a facility agreement with funding available of up to £50m. The facility is available for a period of 7 years from the date of the agreement and attracts a fixed interest rate of 11.90%. As at 30 June 2024 an amount of £48.1m had been provided to BCFC from BCL and Knighthead under the loan agreement. On 3 October 2024, a Deed of Amendment was entered into between the company, BCL and Knighthead extending the loan facility to £100m. As at 30 June 2024 the total amount owing from BCL to Knighthead including interest and loan reassignments is £72.2m.

The company does not have an overdraft facility and from 13 July 2023 onwards, the day to day funding requirements were supported by Knighthead.

The directors have prepared detailed cash flow forecasts for the period to 31 December 2025 as part of the longer term forecasts prepared for the company. The forecasts show that the company needs additional funding of approximately £60m from Knighthead for the period from July 2024 to December 2025. The directors of the company and Knighthead have indicated that they expect that the company will have sufficient working capital to be able to advance funds for the company to meet its financial obligations as and when they fall due for the next twelve months.

In addition, financial support is also available from the groups principal shareholder ZO and a written confirmation has been provided for at least the next 12 months.

Extracts from ZO financial statements for the year ended 30 June 2024
The Group incurred a loss attributable to owners of the Company of approximately HK$182,779,000 for the year ended 30 June 2024 and net cash outflow from operating activities of approximately HK$332,107,000. These conditions indicate the existence of a material uncertainty which may cast significant doubt on the Group's ability to continue as a going concern. Therefore, the Group may be unable to realise its assets and discharge its liabilities in the normal course of business.

The consolidated financial statements have been prepared on a going concern basis. The directors of the Company (the "Directors") are of the opinion that the Group will have sufficient working capital to meet its financial obligations as and when they fall due for the next twelve months after taking into consideration that (i) the Group has a loan facility from a substantial shareholder of the Company, Trillion Trophy Asia Limited, under which an unsecured revolving loan facility up to HK$250,000,000 has been granted to the Group; (ii) the Group has a loan facility from Oriental Rainbow Investments Limited ("Oriental Rainbow"), a wholly-owned subsidiary of a substantial shareholder of the Company, under which an unsecured revolving loan facility up to HK$300,000,000 has been granted to the Group; (iii) the Group has a loan facility from Great Summit Ventures Limited, a wholly-owned subsidiary of a substantial shareholder of the Company, under which an unsecured revolving loan facility up to HK$100,000,000 has been granted to the Group; (iv) the Group has a loan facility from Shelby Companies Limited ("Shelby"), a non-controlling shareholder of Birmingham City Limited ("BCL"), under which a secured term loan facility up to HK$493,625,000 (equivalent to GBP50.0 million) has been granted to the Group; and (v) the Group has a loan facility with aggregate amount of approximately HK$10,698,000 (equivalent to RMB10.0 million) from a third party lender.

As at 30 June 2024, the total carrying amount of the borrowings under the above facilities of the Group was approximately HK$532,586,000. As at 30 June 2024, the Group had approximately HK$621,737,000 undrawn borrowing facilities available. Accordingly, the Directors are of the opinion that it is appropriate to prepare the consolidated financial statements on a going concern basis. Should the Group be unable to continue as a going concern, adjustments would have to be made to the consolidated financial statements to adjust the value of the Group's assets to their recoverable amounts, to provide for any further liabilities which might arise and to reclassify non-current assets and liabilities as current assets and liabilities, respectively.

English Football League rules and regulation
During the year under review, the company has complied in all material respects with the relevant laws and regulations that have a significant impact on the business and operation of the company, and there was no material breach of or non-compliance with the applicable laws and regulations by the company.

On behalf of the board:

.....
Director: Garry Cook

Date: 28 December 2024

Report of the Directors
for the year ended 30 June 2024

The directors present their report with the financial statements of the company for the year ended 30 June 2024.

Dividends
No dividends will be distributed for the year ended 30 June 2024.

Directors
The directors shown below have held office during the whole of the period from 1 July 2023 to the date of this report.

G Zheng
W Zhao

Other changes in directors holding office after the year end but prior to this report are as follows:

C K Yiu – resigned 13 July 2023
Y Wang – resigned 13 July 2023
T A Wagner – appointed 13 July 2023
A Shannahan – appointed 13 July 2023
M Alvarez - appointed 13 July 2023
K Kneisly - appointed 13 July 2023
G Cook - appointed 13 July 2023
L Torrado-Malley – appointed and resigned 13 July 2023

Financial instruments
The company's operations expose it to a variety of financial risks including the effects of changes in interest rates on debt, credit risk and liquidity risk.

The company does not have material exposures in any of the areas identified above but can use derivative instruments to manage these exposures.

The company's principal financial instruments comprise sterling cash and bank deposits and loans together with trade receivables and trade payables that arise directly from its operations.

The main risks arising from the company's financial instruments can be analysed as follows:

Credit risk

The company's principal financial assets are bank balances, cash and trade receivables. The company's credit risk is primarily attributable to its trade receivables. The amounts presented in the statement of financial position are net of allowances for doubtful debts, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The company has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Liquidity risk

The company's policy has been to ensure continuity of funding through operating within its banking facilities and operating loan agreement with Knighthead.

Foreign currency risk

The company has no significant exposure in its trading operations to the risk of changes in foreign currency exchange rates.

Employee involvement
The company places considerable value on the involvement of its employees and recognises the importance of good communication within the workplace.

The quality and commitment of our people have played a major role in our business operations. This has been demonstrated in many ways. They have shown flexibility in adapting to changing business environments and new ways of working. Employees' performance is aligned to the company's goals through an annual performance review process that is carried out with all employees.

Disabled persons

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Environment

The company's policy with regard to the environment is to ensure that we understand and effectively manage the actual and potential environmental impact of our activities. Our operations are conducted such that we comply with all legal requirements relating to the environment in all areas where we carry out our business. During the period covered by this report the company has not incurred any fines or penalties or been investigated for any breach of environmental regulations.

Events after the statement of financial position date

Transfers of player registrations subsequent to 30 June 2024, taking into account applicable costs, resulted in a net £21,070,000 payable by the company (2023 - £2,238,000 payable by the company).

There has been significant infrastructure work taking place at St. Andrews @ Knighthead Park, Knighthead Performance Centre and the Elite Performance & Innovation Centre. This has amounted to £8.9m of spend post year end.

On 3 October 2024, a Deed of Amendment was entered into between the company, BCL and Knighthead extending the loan facility to £100m.

Statement of directors' responsibilities
The directors are responsible for preparing the Strategic Report, the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with UK-adopted International Financial Reporting Standards and applicable UK law. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state that the financial statements comply with IFRS;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement as to disclosure of information to auditors
So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Auditors
The auditors, Cooper Parry Group Limited, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

On behalf of the board:



.....
Director: Garry Cook

Date: 28 December 2024

Report of the Independent Auditors to the Members of Birmingham City Football Club Limited

Opinion

We have audited the financial statements of Birmingham City Football Club Limited (the 'company') for the year ended 30 June 2024 which comprise the Statement of Profit or Loss and Other Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity, the Statement of Cash Flows, Notes to the Statement of Cash Flows and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and UK-adopted international accounting standards.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with UK-adopted international accounting standards; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty relating to going concern

We draw attention to note 1 on page 15 and 16 of the financial statements, which indicates that the company incurred a net loss of £15.7m during the year ended 30 June 2024 and, as of that date, the company's current liabilities exceeded the total assets by £78.5m and its total liabilities exceeded total assets by £87.1m. As stated in note 1, funding of around £60m is required to December 2025 from Birmingham City Limited (BCL) the parent company and Knighthead Capital. These events or conditions, along with other matters as set forth in note 1, indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the directors' assessment of the entity's ability to continue to adopt the going concern basis of accounting included a review of the commitments they have received from BCL and Knighthead Capital.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information in the Strategic Report and the Report of the Directors, but does not include the financial statements and our Report of the Auditors thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Report of the Directors have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Report of the Directors.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities set out on page five, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a Report of the Auditors that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

We obtained an understanding of the legal and regulatory framework applicable to both the company itself and the industry in which it operates. We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our sector experience and through discussion with the directors and other management. The most significant were identified as the Companies Act 2006, IFRS, relevant tax legislation and EFL regulations.

We considered the extent of compliance with those laws and regulations as part of our procedures on the related financial statements. Our audit procedures included:

- making enquires of directors and management as to where they consider there to be a susceptibility to fraud and whether they have any knowledge or suspicion of fraud;
- obtaining an understanding of the internal controls established to mitigate risks related to fraud or non-compliance with laws and regulations;
- assessing the design effectiveness of the controls in place to prevent and detect fraud;
- assessing the risk of management override including identifying and testing journal entries;
- challenging the assumptions and judgements made by management in its significant accounting estimates.

Whilst our audit did not identify any significant matters relating to the detection of irregularities including fraud, and despite the audit being planned and conducted in accordance with ISAs (UK), there remains an unavoidable risk that material misstatements in the financial statements may not be detected owing to inherent limitations of the audit, and that by their very nature, any such instances of fraud or irregularity would likely involve collusion, forgery, intentional misrepresentations, or the override of internal controls.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our Report of the Auditors.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in a Report of the Auditors and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Cooper Parry Group Limited

Andrew Hughes FCA (Senior Statutory Auditor)
for and on behalf of Cooper Parry Group Limited
CUBO Birmingham
4th Floor
Two Chamberlain Square
Birmingham
West Midlands
B3 3AX

Date: 28/12/2024

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Statement of Profit or Loss and Other Comprehensive Income
for the year ended 30 June 2024

	Notes	Club operations £	Player amortisation impairment and trading costs £	Total 2024 £	Total 2023 £
Continuing operations					
Revenue	3	28,720,273	-	28,720,273	18,985,683
Operating expenses		(54,374,130)	(4,382,419)	(58,756,549)	(46,296,757)
Other operating income		804,000	-	804,000	804,000
Operating loss	6	(24,849,857)	(4,382,419)	(29,232,276)	(26,507,074)
Net profit on sale of players' registrations				15,405,191	2,131,379
Loss from operations				(13,827,085)	(24,375,695)
Finance income	5			843,003	301,404
Finance costs	5			(3,097,744)	(1,291,852)
Loss before taxation				(16,081,826)	(25,366,143)
Taxation	7			371,454	-
Total comprehensive loss attributable to equity shareholders				**(15,710,372)**	**(25,366,143)**

All activities are from continuing operations.

The notes form part of these financial statements

Statement of Financial Position
30 June 2024

	Notes	2024 £	2023 £
Assets			
Non-current assets			
Intangible assets	8	5,082,874	5,621,412
Property, plant and equipment	9	36,013,577	12,419,994
Investments	10	1	1
Trade and other receivables	12	4,683,844	1,351,234
		45,780,296	19,392,641
Current assets			
Inventories	11	1,288,830	-
Trade and other receivables	12	21,311,088	10,296,156
Cash and cash equivalents	13	8,671,807	1,633,007
		31,271,725	11,929,163
Total assets		77,052,021	31,321,804
Equity			
Shareholders' equity			
Called up share capital	14	58,830,838	58,830,838
Share premium	15	207,096	207,096
Capital redemption reserve	15	750	750
Other reserves	15	14,731,066	14,731,066
Capital contribution reserve	15	7,970,000	7,970,000
Accumulated deficit	15	(168,826,746)	(153,116,374)
Total deficit		(87,086,996)	(71,376,624)
Liabilities			
Non-current liabilities			
Trade and other payables	16	1,935,363	2,169,948
Financial liabilities - borrowings			
Interest bearing loans and borrowings	17	6,601,844	6,715,062
		8,537,207	8,885,010
Current liabilities			
Trade and other payables	16	16,012,469	7,844,667
Contract liabilities		3,382,406	2,233,383
Financial liabilities - borrowings			
Interest bearing loans and borrowings	17	136,206,935	83,735,368
		155,601,810	93,813,418
Total liabilities		164,139,017	102,698,428
Net liabilities		87,086,996	71,376,624

The financial statements were approved by the Board of Directors and authorised for issue on 28 December 2024 and were signed on its behalf by:

.....
Director: Garry Cook

The notes form part of these financial statements

BIRMINGHAM CITY FOOTBALL CLUB LIMITED
Statement of Changes in Equity
for the year ended 30 June 2024

	Called up share capital £	Profit and loss £	Share premium £
Balance at 1 July 2022	58,830,838	(127,750,231)	207,096
Changes in equity			
Total comprehensive expense	-	(25,366,143)	-
Balance at 30 June 2023	58,830,838	(153,116,374)	207,096
Changes in equity			
Total comprehensive expense	-	(15,710,372)	-
Balance at 30 June 2024	58,830,838	(168,826,746)	207,096

	Capital contribution reserve £	Capital redemption reserve £	Other reserves £	Total equity £
Balance at 1 July 2022	-	750	14,731,066	(53,980,481)
Changes in equity				
Total comprehensive expense	-	-	-	(25,366,143)
Capital contribution received	7,970,000	-	-	7,970,000
Balance at 30 June 2023	7,970,000	750	14,731,066	(71,376,624)
Changes in equity				
Total comprehensive expense	-	-	-	(15,710,372)
Balance at 30 June 2024	7,970,000	750	14,731,066	(87,086,996)

The notes form part of these financial statements

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Statement of Cash Flows
for the year ended 30 June 2024

	Notes	2024 £	2023 £
Cash flows used in operating activities			
Cash used in operations	1	(22,505,941)	(21,637,145)
Corporation tax received		371,454	-
Net cash used in operating activities		(22,134,487)	(21,637,145)
Cash flows from investing activities			
Purchase of intangible fixed assets		(3,947,940)	(2,180,552)
Purchase of tangible fixed assets		(26,211,648)	(2,877,567)
Sale of intangible fixed assets		10,409,198	6,505,436
Interest received		843,003	301,404
Net cash from investing activities		(18,907,387)	1,748,721
Cash flows from financing activities			
New loans in year		55,170,495	29,379,198
Loan repayments in year		(3,145,165)	(7,477,647)
Interest paid		(2,176,797)	(415,638)
Payment of lease liabilities		(1,767,859)	(1,415,736)
Net cash from financing activities		48,080,674	20,070,177
Increase/(decrease) in cash and cash equivalents		7,038,800	181,753
Cash and cash equivalents at beginning of year	2	1,633,007	1,451,254
Cash and cash equivalents at end of year	2	8,671,807	1,633,007

The notes form part of these financial statements

Notes to the Statement of Cash Flows
for the year ended 30 June 2024

1. Reconciliation of loss before income tax to cash used in operations

	2024	2023
	£	£
Loss before income tax	(16,081,826)	(25,366,143)
Depreciation charges	2,618,065	1,247,776
Profit on sale of players' registrations	(15,405,191)	(2,131,379)
Amortisation charges	4,382,419	3,478,760
Finance costs	3,097,744	1,291,852
Finance income	(843,003)	(301,404)
	(22,231,792)	(21,780,538)
(Increase) in inventories	(1,288,830)	-
(Increase)/decrease in trade and other receivables	(7,600,225)	2,527,869
Increase/(decrease) in trade and other payables	8,614,906	(2,384,476)
Cash used in operations	(22,505,941)	(21,637,145)

2. Cash and cash equivalents

The amounts disclosed on the Statement of Cash Flows in respect of cash and cash equivalents are in respect of these Statement of Financial Position amounts:

Year ended 30 June 2024

	30/06/24	01/07/23
	£	£
Cash and cash equivalents	8,671,807	1,633,007

Year ended 30 June 2023

	30/06/23	01/07/22
	£	£
Cash and cash equivalents	1,633,007	1,451,254

The notes form part of these financial statements

1. Accounting policies

Statutory information
Birmingham City Football Club Limited is a private company, limited by shares, incorporated and domiciled in England and Wales. The address of Birmingham City Football Club Limited's registered office is St Andrews Stadium @ Knighthead Park, Small Heath, Birmingham, B9 4NH which is also the company's principal place of business.

Basis of preparation
The financial statements have been prepared in accordance with UK-adopted International Accounting Standards (UK-adopted IFRS).

The financial statements are presented in sterling which is the functional currency of the company and rounded to the nearest £.

The preparation of the financial statements requires management to make estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the date of the financial statements. If in the future such estimates and assumptions which are based on management's best judgement at the date of the financial statements, deviate from the actual circumstances, the original estimates and assumptions will be modified as appropriate in the year in which the circumstances change.

The company has taken advantage of exemption under IFRS 10 not to prepare consolidated accounts. The financial statements present information about the company as an individual entity and not about its group.

Birmingham City Football Club Limited is a wholly owned subsidiary of Birmingham City Limited and the results of Birmingham City Football Club Limited are included in the consolidated financial statements of Birmingham City Limited which are available on Companies House.

Basis of preparation: going concern

On 13 July 2023, the company's ultimate parent undertaking, ZO Future Group ("ZO"), formerly known as Birmingham Sports Holdings Limited ("BSHL"), announced that Shelby Companies Limited, owned by Knighthead Annuity & Life Assurance Company and Knighthead Master Fund, L.P (Knighthead), had acquired 45.98% of the issued share capital of the parent company Birmingham City Limited ("BCL"). Shelby Companies Limited acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from Oriental Rainbow Investments Limited (ORIL).

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%). The directors have received written confirmation from Knighthead that continued financial support will be provided for at least the next 12 months.

At the balance sheet date funding of £135.2m has been provided by BCL to the company, this amount is shown as due to the parent undertaking within one year.

In the year, the company entered into a facility agreement with funding available of up to £50m. The facility is available for a period of 7 years from the date of the agreement and attracts a fixed interest rate of 11.90%. As at 30 June 2024 an amount of £48.1m had been provided to BCFC from Knighthead under the loan agreement. On 3 October 2024, a Deed of Amendment was entered into between the company, BCL and Knighthead extending the loan facility to £100m. As at 30 June 2024 the total amount owing from BCL to Knighthead including interest and loan reassignments is £72.2m.

The company does not have an overdraft facility and from 13 July 2023 onwards, the day to day funding requirements were supported by Knighthead.

The directors have prepared detailed cash flow forecasts for the period to 31 December 2025 as part of the longer term forecasts prepared for the company. The forecasts show that the company needs additional funding of approximately £60m from Knighthead for the period from July 2024 to December 2025. The directors of the company and Knighthead have indicated that they expect that the company will have sufficient working capital to be able to advance funds for the company to meet its financial obligations as and when they fall due for the next twelve months.

continued...

1. **Accounting policies – continued**

Extracts from ZO financial statements for the year ended 30 June 2024 (continued)

The Group incurred a loss attributable to owners of the Company of approximately HK$182,779,000 for the year ended 30 June 2024 and net cash outflow from operating activities of approximately HK$332,107,000. These conditions indicate the existence of a material uncertainty which may cast significant doubt on the Group's ability to continue as a going concern. Therefore, the Group may be unable to realise its assets and discharge its liabilities in the normal course of business.

The consolidated financial statements have been prepared on a going concern basis. The directors of the Company (the "Directors") are of the opinion that the Group will have sufficient working capital to meet its financial obligations as and when they fall due for the next twelve months after taking into consideration that (i) the Group has a loan facility from a substantial shareholder of the Company, Trillion Trophy Asia Limited, under which an unsecured revolving loan facility up to HK$250,000,000 has been granted to the Group; (ii) the Group has a loan facility from Oriental Rainbow Investments Limited ("Oriental Rainbow"), a wholly-owned subsidiary of a substantial shareholder of the Company, under which an unsecured revolving loan facility up to HK$300,000,000 has been granted to the Group; (iii) the Group has a loan facility from Great Summit Ventures Limited, a wholly-owned subsidiary of a substantial shareholder of the Company, under which an unsecured revolving loan facility up to HK$100,000,000 has been granted to the Group; (iv) the Group has a loan facility from Shelby Companies Limited ("Shelby"), a non-controlling shareholder of Birmingham City Limited ("BCL"), under which a secured term loan facility up to HK$493,625,000 (equivalent to GBP50.0 million) has been granted to the Group; and (v) the Group has a loan facility with aggregate amount of approximately HK$10,698,000 (equivalent to RMB10.0 million) from a third party lender.

As at 30 June 2024, the total carrying amount of the borrowings under the above facilities of the Group was approximately HK$532,586,000. As at 30 June 2024, the Group had approximately HK$621,737,000 undrawn borrowing facilities available.

Accordingly, the Directors are of the opinion that it is appropriate to prepare the consolidated financial statements on a going concern basis. Should the Group be unable to continue as a going concern, adjustments would have to be made to the consolidated financial statements to adjust the value of the Group's assets to their recoverable amounts, to provide for any further liabilities which might arise and to reclassify non-current assets and liabilities as current assets and liabilities, respectively.

The Club recorded a loss of approximately £15.7m for the year ended 30 June 2024, and has net liabilities of approximately £87.1m as at 30 June 2024. These conditions indicate the existence of a material uncertainty which may cast significant doubt about the company's ability to continue as a going concern, the validity of which is dependent upon the future funding available at a level sufficient to finance the working capital requirements of the club. The directors have considered the forecast of BCFC carefully and also confirmed with Knighthead, the company's ability to obtain funding required as shown by the forecasts. The directors do however remain in the view that the company can obtain the required funding from Knighthead and as a result, the directors consider it is appropriate to prepare the financial statements on a going concern basis.

New and revised IFRSs not yet adopted

The Company has not yet applied the new IFRSs that have been issued but are not yet effective. The Company has already commenced an assessment of the impact of these new IFRSs but is not yet in a position to state whether these new IFRSs would have a material impact on its results and financial position.

The accounting policies set out below have, unless otherwise stated, been applied consistently for the company to all periods presented in these financial statements.

continued...

1. **Accounting policies - continued**

Revenue recognition
Revenue represents income arising from sales to third parties and excludes transfer fees receivable and value added tax.

Revenue is measured based on the consideration to which the company expects to be entitled in a contract with a customer and excludes amounts collected on behalf of third parties. The company recognises revenue when it transfers control of a product or service to a customer. Depending on the terms of a contract and the laws that apply to that contract, a performance obligation can be satisfied over time or at a point in time.

(i) Season ticket and corporate hospitality revenue is recognised over the period of the football season as home matches are played.

(ii) Fixed elements of broadcasting contracts are recognised on a time basis over the duration of the football season. Appearance fees are accounted for as earned.

(iii) Sponsorship contracts are recognised over the duration of the contract, either on a straight line basis, or over the period of the football season, as appropriate, based on the terms of the contract.

(iv) Catering revenues are recognised on an earned basis.

(v) Revenue from the sale of branded products is recognised at the point of delivery when significant risks and rewards of ownership are deemed to have been transferred to the buyer.

(vi) Sales of players' registrations are recorded at the date of signing of the contract for sale. Any costs incurred directly related to the sale are written off against profit on sale of player registrations as incurred. Contingent fees are only recognised upon the crystallisation of the contingent event.

Property, plant and equipment
Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses.

Depreciation is charged to the statement of comprehensive income, to write off the cost of the property, plant and equipment less estimated residual value, on a straight-line basis, over their estimated useful lives as follows:

Right of use asset - leasehold property	- Over the term of the lease
Right of use asset - fixtures and equipment	- Over the term of the lease
Right of use asset - motor vehicles	- Over the term of the lease
Freehold land	- Not depreciated
Freehold buildings	- Between 10 and 50 years
Long leasehold property improvements	- Shorter of lease or between 10 and 50 years
Fixtures and equipment	- Between 3 and 5 years
Motor vehicles	- 5 years

Assets under construction
Assets under construction are classified separately within note 9 and are not depreciated until the asset is available to use in a manner intended by management.

Taxation
Tax on the result for each period comprises current and deferred tax. Tax is recognised in the statement of comprehensive income except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity. Current tax is the expected tax payable/income for the period, using tax rates enacted or substantively enacted at the statement of financial position date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amounts of assets and liabilities, using tax rates enacted or substantively enacted at the statement of financial position date. Deferred tax is not discounted.

Foreign currencies
Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the statement of financial position date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

continued...

1. **Accounting policies - continued**

Employee benefit costs
Eligible employees of the company are members of the Football League Limited Pensions and Life Assurance Scheme. The company does not make any contributions to this scheme. The assets and liabilities of the scheme are managed independently of the company and therefore do not form part of these financial statements.

Leases
At inception, the company assesses whether a contract is, or contains, a lease within the scope of IFRS 16. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Where a tangible asset is acquired through a lease, the company recognises a right-of-use asset and a lease liability at the lease commencement date. Right-of-use assets are included within tangible fixed assets, apart from those that meet the definition of investment property.

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs and an estimate of the cost obligations to dismantle, remove, refurbish or restore the underlying asset and the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of the right-of-use assets are determined on the same basis as those of other tangible fixed assets. The right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are unpaid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the company's incremental borrowing rate. Lease payments included in the measurement of the lease liability comprise fixed payments, variable lease payments that depend on an index or a rate, amounts expected to be payable under a residual value guarantee, and the cost of any options that the company is reasonably certain to exercise, such as the exercise price under a purchase option, lease payments in an option renewal period, or penalties for early termination of a lease.

The lease liability is measured at amortised cost using the effective interest method. It is re-measured when there is a change in: future lease payments arising from a change in an index or rate; the company's estimate of the amount expected to be payable under a residual value guarantee; or the company's assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The company has elected not to recognise right-of-use assets and lease liabilities for short-term leases of machinery that have a lease term of 12 months or less, or for leases of low-value assets including IT equipment. The payments associated with these leases are recognised in profit or loss on a straight-line basis over the lease term.

continued...

1. **Accounting policies - continued**

Intangible fixed assets: cost and amortisation of acquired players' registrations
The costs associated with the acquisition of players' registrations are initially recorded at fair value at the date of acquisition. These costs are fully amortised over the period of the respective players' contracts, being between 1 and 5 years. A provision is made in accruals, for additional payments where in management's opinion, the club or player is likely to achieve the requirements for these additional payments. Where the outcome of these requirements is uncertain, additional payments are not made as a provision but the maximum amount payable is disclosed as a contingent liability (note 23). Agent fees incurred relating to services provided to the club are capitalised as part of intangible assets.

Agent fees incurred in relation to services provided to the player but paid on their behalf by the club are treated as a prepayment and unwound over a period to match the length of the player's contract. This release is to the wages and salaries cost within the consolidated statement of comprehensive income rather than to player amortisation.

Amortisation of the costs of player registrations is charged to the statement of comprehensive income on a straight-line basis over the contract life of each individual player.

Impairment of intangible and tangible fixed assets
An impairment review on the intangible assets is undertaken if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The club compares the carrying amount of the asset with its recoverable amount. The club does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on their own. Furthermore, the club also considers that all of the players are unable to generate cash flows even when considered together. Accordingly the club considers the smallest cash-generating unit to contain all first team players, the stadium and the training facilities.

The club calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows relating to the club activities and compare this value with the value of the intangible assets, stadium and training facilities (including related assets). If the expected future cash flows are below the recorded value of assets the club will make an impairment adjustment of assets on a pro-rata basis.

In certain instances, there may be an individual player or group of players whom the club does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or planned sale for proceeds below carrying value. In this situation, the carrying value of the player or group of players is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead these players will be assessed for impairment in isolation by considering their carrying value with the club's best estimate of their fair value less costs to sell.

Further details are given in note 8.

Investments
Investments in subsidiaries are initially measured at cost and subsequently measured at cost less impairment. The investments are assessed for impairment at each reporting date.

Net financing costs
Net financing costs comprise interest payable on borrowings, calculated using the effective interest rate method and interest receivable on funds invested. The discounting of the deferred payments for the purchase of players' registrations produces a notional interest payable and this is charged to finance costs.

Signing on fees
Signing on fees are not recorded within the costs of acquired players' registrations but are held within prepayments on the statement of financial position and charged to the statement of profit or loss on a straight line basis over the period of each player's contract.

Inventories
Inventories are recorded at the lower of cost and net realisable value. Cost is based on the expenditure incurred in acquiring the stocks and bringing them to their existing location and condition. Net realisable value is based on the estimated selling price in the ordinary course of business. Provision is made for obsolete, slow-moving or defective items where appropriate.

continued...

1. **Accounting policies – continued**

Cash and equivalents
Cash and equivalents comprise cash balances and call deposits.

Contract liabilities/deferred income
Contract liabilities/deferred income represent the unrecognised income in relation to match receipts.

Financial instruments
Financial assets and liabilities are recognised on the company's statement of financial position when the company becomes party to the contractual provisions of the instrument.

Financial assets
The company's financial assets relate to trade and other receivables and cash and cash equivalents. Trade and other receivables are classified as loans and receivables and are measured initially at fair value plus transaction costs and are carried subsequently at amortised cost under the effective interest method, less provision for any expected credit loss. Any change in their value through impairment or reversal of impairment is recognised in the statement of comprehensive income. There are no financial assets classified as fair value through the statement of comprehensive income or as held to maturity or available for sale.

All financial assets are assessed for indicators of impairment at each statement of financial position date. Financial assets are impaired where there is evidence that a loss has occurred and that estimated future cash flows of the financial asset have been impacted. Objective evidence of impairment for a portfolio of receivables could include a company's past experience of collecting payments, an increase in the delayed number of payments in the portfolio and the average credit period, as well as observed changes in the national or local economic conditions that correlate with default on receivables.

Financial liabilities
Financial liabilities which include bank loans and trade and other payables are measured initially at fair value net of transaction costs under the effective interest method and thereafter at amortised cost unless the effect of discounting would be immaterial, in which case they are stated at cost. Finance charges are accounted for on an accruals basis in the statement of comprehensive income using the effective interest method.

Borrowing costs
Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised into the cost of that asset and depreciated in line with its useful life.

2. **Critical accounting judgements and key sources of estimation uncertainty**

The preparation of the financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, income and expense and which may differ from actual results. The key critical judgements are considered to be:

1. Player transfer costs

Management have to make certain judgements as to whether a liability should be recognised under the terms of the contracts with other football clubs in respect of player transfers. These judgements include management's opinion, at the consolidated statement of financial position date, on the likely league status in the next season. It also requires certain judgements as to whether a player will continue to make the contractually agreed number of first team appearances. Based on these judgements, management decide on an individual player by player basis as to whether the liability is disclosed as a contingent liability in note 23 whether it becomes recognised as a liability in trade payables in the statement of financial position.

2. Intangible assets, tangible assets and impairment

Management are required to test whether intangible and tangible assets have suffered any impairment. The recoverable amount of cash generating units connected to the recorded value of these assets has been determined based on value in use estimates and compared to the book value to determine if an impairment provision is needed.

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3. Revenue

The company has one main business segment, that of professional football operations. As a result, no additional business segment information is required to be provided. It operates in one geographical segment, in the United Kingdom, and accordingly no additional geographical segmental information is required to be provided. A voluntary analysis of the revenue streams is given below to assist with an understanding of the business.

	2024	2023
	£	£
Match receipts	6,115,977	3,728,240
Broadcasting	9,654,420	9,065,225
Other commercial income	12,949,876	6,192,218
	28,720,273	18,985,683

Revenue from contracts with customers recognised at a point in time

	2024	2023
	£	£
Match receipts	3,010,496	1,609,357
Other commercial income	3,467,060	2,249,114
	6,477,556	3,858,471

Revenue from contracts with customers recognised over time

	2024	2023
	£	£
Match receipts	3,105,481	2,118,883
Broadcasting	9,654,420	9,065,225
Other commercial income	7,363,336	2,236,905
	20,123,237	13,421,013

Revenue from other sources

	2024	2023
	£	£
Other commercial income	2,119,480	1,706,199

Revenue streams comprise

Match receipts	Season and match day tickets.
Broadcasting	Television and broadcasting income, including distributions from the FA broadcasting agreements, cup competitions and local radio.
Other commercial income	Sponsorship income, corporate hospitality, merchandising, conference and banqueting and other sundry revenue.

4. Employees and directors

	2024	2023
	£	£
Wages and salaries	29,993,538	24,639,127
Social security costs	3,589,861	2,903,184
Other pension costs	135,394	85,506
	33,718,793	27,627,817

continued...

4. Employees and directors - continued

The average number of employees during the year was as follows:

	2024	2023
Playing staff	73	66
Training staff	79	70
Training ground	17	12
Commercial and fund-raising staff	33	30
Administration and other staff	37	31
	239	209

During the year, the company also employed approximately 118 temporary staff on match days (2023 - 105), the cost of which is included in the staff costs above.

Key management compensation

The remuneration of senior management during the year was as follows:

	2024	2023
	£	£
Remuneration for qualifying services	1,386,666	1,094,756
Pension costs	11,117	13,146
	1,397,783	1,107,902

Directors' remuneration

	2024	2023
	£	£
Remuneration for qualifying services	249,221	422,507
Pension costs	1,761	-
	250,982	422,507

One director (2023 - none) is accruing benefits under defined contribution schemes.

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2024	2023
	£	£
Remuneration for qualifying services	249,221	227,554
Pension costs	1,761	-
	250,982	227,554

5. Net finance costs

	2024	2023
	£	£
Finance income:		
Notional interest on transfer fee receivables due after 1 year	155,088	123,022
Other interest receivable	687,915	178,382
	843,003	301,404

continued...

5. Net finance costs – continued

	2024 £	2023 £
Finance costs:		
Notional interest payable on transfer fee liabilities due after 1 year	436,890	189,157
Bank interest	41,155	166,828
Other interest	1,698,752	59,653
Interest on lease liabilities	920,947	876,214
	3,097,744	1,291,852
Net finance costs	2,254,741	990,448

6. Operating loss

Operating loss is stated after charging/(crediting) the following:

	2024 £	2023 £
Cost of inventories recognised as an expense	257,601	-
Depreciation – owned assets	1,504,705	428,761
Depreciation – leased assets	1,113,360	819,015
Players' registrations amortisation	4,382,419	3,478,760
EFL imputed loan interest, (net)	-	(166,828)
Insurance claim arising on business interruption caused by fire damage	(600,000)	(150,000)
Foreign exchange retranslation	14,919	10,673
Auditors' remuneration	47,000	47,000
Auditors' remuneration - non-audit fees	12,000	5,000

continued...

7. Income tax

Analysis of tax expense
No liability to UK corporation tax arose for the year ended 30 June 2024 nor for the year ended 30 June 2023.

	2024 £	2023 £
Loss before income tax	(16,081,826)	(25,366,143)
Loss multiplied by the standard rate of corporation tax in the UK of 25% (2023 – 20.5%)	(4,020,457)	(5,200,059)
Effects of:		
Expenses not deductible for tax purposes	-	10,982
R&D tax credit	(371,454)	-
Difference between capital allowances and depreciation	497,141	(48,475)
Tax losses generated	3,523,316	5,237,552
Tax credit	(371,454)	-

Factors that may affect future tax charges
At 30 June 2024, the company has trading losses of £159,241,534 (2023 - £155,158,204) to carry forward and use against future trading profits. No deferred tax has been recognised in relation to these losses on the basis of uncertainty about the future taxable profits.

8. Intangible assets

	Players registrations £
Cost	
At 1 July 2023	29,347,144
Additions	5,595,204
Disposals	(8,651,994)
At 30 June 2024	26,290,354
Amortisation	
At 1 July 2023	23,725,734
Amortisation for year	4,382,419
Eliminated on disposal	(6,900,673)
At 30 June 2024	21,207,480
Net book value	
At 30 June 2024	5,082,874
At 30 June 2023	5,621,412

Any players whom the company do not consider to be a long term part of the first team squad and who will therefore not contribute to future cash flows earned by the company are assessed for impairment by considering the carrying value with the company's best estimate of fair value (being post year-end sales proceeds or expected sales proceeds) less costs to sell. The directors are satisfied that no further provision is required, even in the circumstances of the company remaining in the English Football League 1 for the 2025/26 season.

continued...

9. **Property, plant and equipment**

	Right of use asset Leasehold land and buildings £	Right of use asset Motor vehicles £	Right of use asset Fixtures and equipment £
Cost			
At 1 July 2023	8,969,144	134,470	230,884
Additions	1,179,931	-	-
Disposals	-	-	-
At 30 June 2024	10,149,075	134,470	230,884
Depreciation			
At 1 July 2023	2,414,240	127,997	230,821
Charge for year	1,106,824	6,473	63
Eliminated on disposal	-	-	-
At 30 June 2024	3,521,064	134,470	230,884
Net book value			
At 30 June 2024	6,628,011	-	-
At 30 June 2023	6,554,904	6,473	63

	Leasehold land and buildings £'000	Fixtures and equipment £'000	Motor vehicles £'000	Asset under construction £'000	Totals £'000
Cost					
At 1 July 2023	5,783,785	2,855,222	239,764	1,655,300	19,868,569
Additions	-	2,817,061	465,897	21,748,759	26,211,648
Transfer	16,083,446	-		(16,083,446)	-
At 30 June 2024	21,867,231	5,672,283	705,661	7,320,613	46,080,217
Depreciation					
At 1 July 2023	2,278,493	2,192,513	204,511	-	7,448,575
Charge for year	695,706	740,360	68,639	-	2,618,065
At 30 June 2024	2,974,199	2,932,873	273,150	-	10,066,640
Net book value					
At 30 June 2024	18,893,032	2,739,410	432,511	7,320,613	36,013,577
At 30 June 2023	3,505,292	662,709	35,253	1,655,300	12,419,994

continued...

10. Investments

	Shares in group undertakings £
Cost	
At 1 July 2023 and 30 June 2024	1
Net book value	
At 30 June 2024	1
At 30 June 2023	1

The company's investments at the Statement of Financial Position date in the share capital of companies include the following:

Birmingham City Women Football Club Limited
Registered office: St Andrew's Stadium, Birmingham, United Kingdom, B9 4RL
Nature of business: Football club

Class of shares:	% holding
Ordinary	100.00

11. Inventories

	2024 £	2023 £
Goods for resale	1,288,830	-

The amount of inventories recognised as an expense and included in operating expenses amounted to £257,601 (2023 - £Nil).

12. Trade and other receivables

	2024 £	2023 £
Current:		
Trade debtors	10,877,777	3,123,903
Other debtors	5,747,317	5,305,751
Amounts owed from related company	1,934,722	-
Taxation and social security	1,272,524	-
Prepayments and accrued income	1,478,748	1,866,502
	21,311,088	10,296,156
Non-current:		
Trade debtors	4,305,654	973,097
Prepayments and accrued income	378,190	378,137
	4,683,844	1,351,234
Aggregate amounts	25,994,932	11,647,390

continued...

12. **Trade and other receivables - continued**

Included within trade receivables is £9,014,821 (2023 - £2,267,507) in respect of transfer fees receivable, of which £4,305,654 (2023 - £973,097) is receivable after more than one year. Included within prepayments is £701,584 (2023 - £1,561,492) in respect of agent fees and signing on fees, of which £378,190 (2023 - £378,137) is receivable after more than one year.

Trade receivables are individually assessed based on estimated recoverable amounts.

The average credit period taken on sales is 78 days (2023 - 76 days).

Ageing of past due but not impaired receivables, based on normal 30-day credit terms.

	2024	2023
	£	£
30 - 90 days	261,264	155,285
90 - 120 days	226,560	34,207
120 - 180 days	-	-
180 days +	2,016,996	1,628,964
Total	2,504,820	1,818,456

Movement in bad and doubtful debt provisions

	2024	2023
	£	£
Balance brought forward	372,670	245,014
Amounts recovered	(22,356)	-
Written off	-	-
Amounts provided	-	127,656
Balance carried forward	350,314	372,670

The company applies the simplified approach under IFRS 9 to provide expected credit losses using the lifetime expected loss provision for all trade receivables. To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The expected credit losses also incorporate forward looking information.

At 30 June 2024	Current	Less than 90 days past due	Over 90 days past due	Totals
	£	£	£	£
Expected loss rate	-	-	12.6%	-
Receivables amount	11,299,633	1,446,479	2,787,633	15,533,745
Loss allowance	-	-	(350,314)	(350,314)
Total	11,299,633	1,446,479	2,437,319	15,183,431

At 30 June 2023	Current	Less than 90 days past due	Over 90 days past due	Totals
	£	£	£	£
Expected loss rate	-	-	22.9%	-
Receivables amount	2,651,214	189,492	1,628,964	4,469,670
Loss allowance	-	-	(372,670)	(372,670)
Total	2,651,214	189,492	1,256,294	4,097,000

The directors consider the carrying amount of trade and other receivables approximates to their fair value.

continued...

13. Cash and cash equivalents

	2024	2023
	£	£
Cash in hand	98,142	97,999
Bank accounts	8,573,665	1,535,008
	8,671,807	1,633,007

14. Called up share capital

Allotted, issued and fully paid:

Number:	Class:	2024	2023
		£	£
117,661,676	(2023: 117,661,676) Ordinary shares of 50p each	58,830,838	58,830,838
		58,830,838	58,830,838

15. Reserves

	Profit and loss £'000	Share premium £'000	Capital redemption reserve £'000	Other reserves £'000	Capital contribution reserve £'000	Totals £'000
At 1 July 2023	(153,116,374)	207,096	750	14,731,066	7,970,000	(130,207,462)
Deficit for the year	(15,710,372)	-	-	-	-	(15,710,372)
At 30 June 2024	(168,826,746)	207,096	750	14,731,066	7,970,000	(145,917,834)

16. Trade and other payables

	2024	2023
	£	£
Current:		
Trade creditors	15,137,496	5,621,109
Social security and other taxes	-	496,977
Other creditors	161,444	9,291
Accruals and deferred income	713,529	1,717,290
	16,012,469	7,844,667
Non-current:		
Trade creditors	1,935,363	2,169,948
	1,935,363	2,169,948
Aggregate amounts	17,947,832	10,014,615

continued...

16. **Trade and other payables - continued**

Included within trade payables is £5,454,652 (2023 - £4,434,773) in respect of actual and probable transfer fees payable and agent's fees payable, of which £1,935,363 (2023 - £2,169,948) is payable after more than one year. Included within accruals is £Nil (2023 - £737,932) in respect of signing on fees payable, of which £Nil (2023 - £Nil) is payable after more than one year.

Ageing of trade payables included in current liabilities is set out below:

	2024 £	2023 £
0 - 30 days	6,048,843	2,099,084
30 - 90 days	2,133,896	668,709
90 - 180 days	869,260	357,534
180 days +	6,085,497	2,495,782
Total	15,137,496	5,621,109

Trade payables and accruals principally comprise amounts outstanding for trade purchases and ongoing costs and are payable within 2 months. The average credit period taken for trade purchases is 78 days (2023 - 147 days).

17. **Financial liabilities - borrowings**

	2024 £	2023 £
Current:		
Other loans	-	3,145,165
Amounts owed to parent company	135,230,969	80,060,474
Leases (see note 18)	975,966	529,729
	136,206,935	83,735,368
Non-current:		
Other loans - 1-2 years	-	-
Preference shares	18,500	18,500
Leases (see note 18)	6,583,344	6,696,562
	6,601,844	6,715,062

Terms and debt repayment schedule

	1 year or less £	1-2 years £	2-5 years £	More than 5 years £	Totals £
Amounts owed to parent company	135,230,969	-	-	-	135,230,969
Preference shares	-	-	-	18,500	18,500
Leases	975,966	1,098,559	2,567,564	2,917,221	7,559,310
	136,206,935	1,098,559	2,567,564	2,935,721	142,808,779

continued...

17. **Financial liabilities - borrowings - continued**

The preference shares are shown as debt rather than equity. The Company may redeem cumulative preference shares at par at any time upon giving not less than three months previous notice in writing to the holders of the cumulative preference shares. On an earlier winding up, the cumulative preference shares carry priority over the ordinary shares to the extent of their par value plus any arrears of dividends (which are cumulative for a period of three years). The preference shares carry no votes except on a winding up or on variations of their rights.

On 20 March 2020, the company and the EFL entered into a loan facility agreement, pursuant to which the lender provided a loan facility of £584,000 to the group. The loan is unsecured and repayable in half-yearly instalments ending on 1 October 2023 bearing interest at 0% per annum. The loan becomes repayable on demand in the event of; breach in the conditions, promotion to the Premier League or relegation to EFL Football League 1. This loan has now been fully repaid.

On 29 March 2021, the company and the Football League entered into a loan agreement, pursuant to which the Football League will provide a loan up to £8,330,000 (the "2021 Football Loan"). The 2021 Football Loan is unsecured and interest-free, pursuant to the loan agreement, the group has agreed to repay the 2021 Football Loan by six equal instalments in cash from August 2021 to January 2024. The fair value of the 2021 Football Loan was measured by computing the present value of estimated future cash flows at the effective interest rate of 5%. As at 30 June 2024, the full amount has been repaid.

On 20 January 2022, the company obtained new borrowings from a third party amounting to £230,000. The borrowings bear interest of 6% per annum and are repayable in full on 20 January 2024. As at the date of this report, the borrowings had been paid in full.

In the year, the company entered into a facility agreement with funding available of up to £50m. The facility is available for a period of 7 years from the date of the agreement and attracts a fixed interest rate of 11.90%. As at 30 June 2024 an amount of £48.1m had been provided to BCFC from BCL and Knighthead under the loan agreement. On 3 October 2024, a Deed of Amendment was entered into between the company, BCL and Knighthead extending the loan facility to £100m.

18. **Lease liability**

	2024	2023
	£	£
Current	975,966	529,729
Non current	6,583,344	6,696,562
	7,559,310	7,226,291

Maturity analysis

	2024	2023
	£	£
Not later than one year	975,966	529,729
Later than one year and not more than five years	3,666,123	2,525,684
Later than five years	2,917,221	4,170,878
	7,559,310	7,226,291

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19. Deferred taxation

	2024	2023
	£	£
Deferred tax comprises:		
Fixed asset timing difference	(54,307)	891,896
Losses carried forward	39,810,384	36,797,051
Assets not recognised	(39,756,077)	(37,688,947)
	-	-

The potential asset is based on a corporation tax rate of 25% (2023 – 25%). No deferred tax asset has been recognised at 30 June 2024 on the basis that future recoverability of such an asset is uncertain.

20. Financial instruments

Capital risk management
The company manages its capital to ensure that the company will be able to continue as a going concern through the optimisation of the debt and equity balance. The capital structure of the company consists of debt, which includes the borrowings disclosed in note 17, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued share capital, reserves and retained earnings.

Categories of financial instruments

	2024	2023
	£	£
Financial assets:		
Cash and cash equivalents	8,671,807	1,633,007
Trade and other receivables (note 12)	25,994,932	11,647,390
	34,666,739	13,280,397
Financial liabilities:		
Trade and other payables held at amortised cost	17,234,303	8,297,325
Borrowings at amortised costs (note 17)	142,808,779	90,450,430
	160,043,082	98,747,755

The fair value of the financial instruments set out above is not different to the book value. The above financial liabilities do not include accruals.

Financial risk management objectives
Management monitor and manage the financial risks relating to the operations of the company through internal risk reports. These risks include currency risk, interest rate risk, credit risk, liquidity risk and cash flow interest rate risk.

Where the company considers the impact arising from one or more of these risks to be potentially material to the company's financial position, derivative financial instruments are used to reduce risk exposure. The use of financial derivatives requires the prior approval of the board. The company does not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

Price risk
The company has no significant exposure to securities price risk, as it holds no listed equity investments.

Foreign currency risk
The company has some exposure in its trading subsidiary to the risk of changes in foreign currency exchange rates.

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20. Financial instruments - continued

Credit risk

The company's principal financial assets are bank balances, cash and trade receivables. The company's credit risk is primarily attributable to its trade receivables. Credit risk is managed by monitoring the aggregate amount and duration of exposure to any one customer depending upon their credit rating. The amounts presented in the statement of financial position are net of allowances for doubtful debts, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies. The company has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Liquidity risk

The company's policy has been to ensure continuity of funding through operating within its banking facilities and to match borrowing against the useful life of assets purchased. Longer term liquidity is achieved through funding provided by the ultimate holding company and the need for ongoing funding is confirmed in the Strategic Report and Accounting Policies (note 1). The directors manage liquidity risk through close and frequent discussions with Knightead and have received assurances that funding is in place at least until 31 December 2025.

The company's financial liabilities have contractual maturities summarised below.

30 June 2024	Current	Non-current	
	within 1 year	1 to 5	Over 5 years
	£	£	£
Preference shares	-	-	18,500
Due to group undertakings	135,230,969	-	-
Leases	975,966	3,666,123	2,917,221
Trade and other payables and social security and taxes	15,298,940	1,935,363	-
	151,505,875	5,601,486	2,935,721

30 June 2023	Current	Non-current	
	within 1 year	1 to 5	Over 5 years
	£	£	£
Preference shares	-	-	18,500
Other loans	3,145,165	-	-
Due to parent company	80,060,474	-	-
Leases	529,729	2,525,684	4,170,878
Trade and other payables and social security and taxes	6,127,377	2,169,948	-
	89,862,745	4,695,632	4,189,378

Interest rate sensitivity analysis

If interest rates had been 1% higher/lower and all other variables were held constant, the company's result for the year ended 30 June 2024 would not be materially affected.

21. Pension commitments

	2024	2023
Defined contribution schemes	£	£
Charge to the statement of comprehensive income in respect of defined contribution schemes	135,394	85,506

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

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22. Ultimate parent company and parent undertaking of larger group

The immediate parent company of the club is Birmingham City Limited, a company incorporated in England and Wales.

The largest group in which the results of the company are consolidated is that headed by ZO Future Group ("ZO"), formerly known as Birmingham Sports Holdings Limited ("BSHL"), a company incorporated in the Cayman Islands and listed on The Stock Exchange of Hong Kong Limited. The consolidated accounts of this company are available to the public and may be obtained from the website of The Stock Exchange of Hong Kong Limited. The smallest group accounts available is that headed by Birmingham City Limited.

23. Contingent liabilities

Under the terms of certain contracts with players and other football clubs, additional amounts would become payable if certain specific conditions arise after 30 June 2024. The directors have taken the view that these amounts are not certain enough to be recorded as a provision but note that the maximum that could be payable in respect of these items is £2,025,000 (2023 - £9,360,932). Since the year end and to the date of approval of these financial statements £Nil of these amounts have crystallised.

24. Related party disclosures

The company has taken advantage of the exemption conferred within IAS 24 not to disclose transactions between wholly owned members of the same group.

Any directors or senior employees who have authority and responsibility for controlling the activities of the company are considered to be key management personnel. Total remuneration in respect of these individuals is disclosed in note 5.

During the year, BCFC paid rent to Birmingham City Stadium Limited (BCSL) amounting to £1,250,000 (2023: £1,250,000) and included in other debtors at 30 June 2024 is an amount of £4,701,000 (2023: £3,868,000) due to BCFC. Interest is charged at a rate of 4.5% per annum from 1 April 2022. During the year, £122,000 (2023: £178,382) of interest was receivable. On 6 March 2024 a rental rebate of £1,642,000 was agreed to between BCFC and BCSL.

During the year, the company entered into an agreement with Shelby Companies Limited for the naming rights sponsorship of the stadium. In the year to 30 June 2024, revenue of £4,241,667 was recognised. As at 30 June 2024 an amount of £1,934,722 (2023: £Nil) was due from Shelby Companies Limited and is included in amounts due from related company. As at 30 June 2024 an amount of £72,274,000 (2023: £1,000,000) was due by the immediate parent company BCL to Shelby Companies Limited. Interest is charged at a rate of 11.9% per annum. During the year, interest of £2,786,000 was payable (2023: £Nil) of which £1,087,000 was capitalised.

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25. Notes supporting the statement of changes in equity

Share capital and share premium -
Share capital records the nominal value of shares in issue and the share premium records the receipts from issue of share capital above the nominal value of the shares, net of direct issue costs.

Capital redemption reserve -
Capital redemption reserves represents a non-distributable reserve in relation to shares which have been brought back by the company.

Other reserves -
Other reserves represent the waiver of a loan balance due to the club's immediate parent company Birmingham City Limited.

Profit and loss account -
The profit and loss account records the cumulative profits less losses recognised in the Statement of Comprehensive Income, net of any distributions and share-based payments made.

Capital contribution reserve -
This reserve represents a loan from a shareholder which has been waivered and thus creating a capital contribution.

26. Events after the balance sheet date

Transfers of player registrations subsequent to 30 June 2024, taking into account applicable costs, resulted in a net £21,070,000 payable by the company (2023 - £2,237,653 payable by the company).

There has also been significant infrastructure improvement work taking place at St. Andrews @ Knighthead Park, Knighthead Performance Centre and the Elite Performance & Innovation Centre. This has amounted to £8.9m of spend post year end.

On 3 October 2024, a Deed of Amendment was entered into between Birmingham City Limited, Birmingham City Football Club Limited and Knighthead extending the loan facility to £100m. As at 30 June 2024 the total amount owing from BCL to Knighthead including interest and loan reassignments is £72.2m and is showing as due to related company.